https://www.wsj.com/articles/adobe-is-a-bright-spot-in-the-cloud-1498063242

HEARD ON THE STREET Follow

Adobe Is a Bright Spot in the Cloud

Software company's expanding earnings moderates valuation of rapidly rising stock price

By Dan Gallagher
June 21, 2017 at 12:40 pm ET

The Adobe logo is seen reflected on a monitor display. Adobe has had success transitioning its business model to the cloud. DADO RUVIC/REUTERS

Adobe ADBE 0.82% ▲ has proven that the cloud can have a silver lining.

Many cloud software companies aren't yet reporting earnings -- even on favorable adjusted terms that exclude things like stock-based compensation. Adobe, meanwhile, has grown per-share earnings on a year-over-year basis every quarter for the last three years -- and that's based on generally accepted accounting principles. The company's fiscal second quarter results from late Tuesday continued that trend, with diluted per-share earnings up 56% year over year to 75 cents, beating analysts forecasts.

For a company that now qualifies as an elder statesman in the turbulent software business, that sort of performance stands out. Even compared to much larger peers like Microsoft and Oracle, Adobe has had the most success transitioning its business model to the cloud. Subscriptions now account for more than three-quarters of the company's revenue, and strong demand for services like Creative Cloud continue to fuel growth. Creative revenue -- Adobe's largest segment -- rose 34% year over year in the second quarter.

That explains why Adobe's stock price still has room to run, despite a 40% gain already this year. And while the stock isn't cheap at 32 times adjusted forward earnings, the company's expanding bottom line has actually moderated its multiple. Adobe traded at 42 times earnings three years ago, when its market value was half of what it is now. With per-share earnings expected to keep growing on a double-digit basis for the next two years, Adobe's cloud is still packing plenty of rain.

Write to Dan Gallagher at dan.gallagher@wsj.com

Dan Gallagher is a former columnist for The Wall Street Journal's Heard on the Street, where he covered the technology and media industries. His work for the Heard column spanned the businesses of artificial intelligence, semiconductors, internet, software, hardware, advertising, streaming TV and film. Dan also wrote WSJ's AI &...